
AUTOMATED DRIVING · 2026

Automated Driving in Europe: What's Next

*The recent Level 3 retreat of German OEMs.
Many read it as defeat. Read it again.*

Where European automated driving actually stands, and what comes next.

Source: Automotive News, Reuters, Gasgoo, European Commission (2026)

THE HEADLINE

The story files itself under ‘retreat.’

BMW is dropping its eyes-off Personal Pilot L3 in the 7 Series facelift. Mercedes is shelving Drive Pilot on the S-Class. Stellantis shelved AutoDrive in 2025.

**Three premium programmes.
Paused inside twelve months.**

WHAT IT ACTUALLY MEANS



list price for an eyes-off feature capped at 60 km/h.

Regulatory approval is not market viability.

BMW R&D chief Joachim Post stated it plainly: demand was not at a level to be profitable. Mercedes went further and accepted legal liability while Drive Pilot was engaged. The demand still did not come. The technology worked. The business case did not.

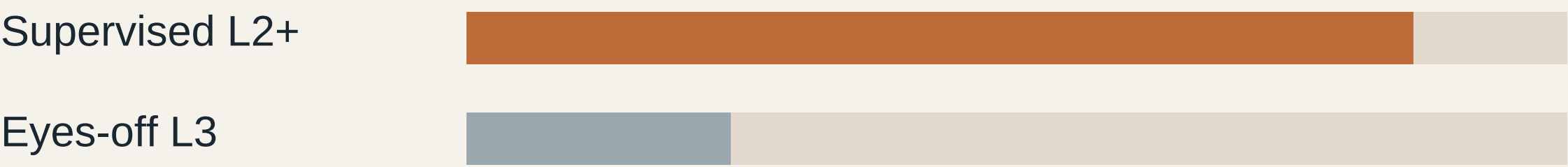
THE PATH THAT SCALED

L2+ won the decade.

S&P Global Mobility forecasts supervised L2+ as the mainstream automation path through 2030. Eyes-off L3 stays a slower, smaller niche.

Tesla and Chinese OEMs scaled L2+ and banked the real-world miles.

FORECAST TRAJECTORY TO 2030 (DIRECTIONAL)



— Source: S&P Global Mobility (2026)

THE OTHER CALENDAR

China reads 2026 as year one.

At Auto China 2026, the largest auto show on earth, lidar was standard on mid-to-high-end models and Level 3 ran across the floor. The consumer reality is still supervised L2+, not eyes-off L3, the same category Europe is now pivoting toward.

**China is scaling it faster, cheaper,
and with trust built in.**

*Read from six years building automotive
programs in Beijing. The pattern is familiar.*

BYD · MAY 2026

BYD changed the question.

From computing power to accountability.

— TRUST

Underwrites the at-fault economic loss of a city-navigation accident. Free. Uncapped. On top of the same parking pledge.

— COST

China's first mass-produced 4nm driving chip (Xuanji A3), and a lidar option near 12,000 yuan across the lineup.

— SCALE

A stated fleet above 3 million assisted-driving cars, generating over 100 million km of real-world data a day.

WHAT THIS REALLY MEANS

*Same barrier.
Opposite playbooks.*

EUROPE

Treated trust as a legal and regulatory problem. Mercedes accepted L3 liability for a premium, eyes-off niche. Demand stayed thin.

CHINA / BYD

Treats trust as a balance-sheet problem. Underwrites mass-market L2+ city driving, free and uncapped, across millions of cars.

Trust, not technology, is the binding constraint. One solved it for the few. The other, for the many.

WHO SETS THE BASELINE

Germany wrote the first rules. China is writing the baseline.

China's MIIT standard for L3 and L4 becomes mandatory on 1 July 2027, with a DSSAD recorder and a 13-month transition. Europe is not idle: Regulation (EU) 2026/481 lifted the cap on automated valet parking approvals, with cross-border corridors next.



— Source: Reuters; MIIT (Feb 2026); European Commission

THE PART THE HEADLINES MISS

German automated driving is coming. In a different shape.

BMW's next China-built iX3 runs Momenta's end-to-end stack. Mercedes co-developed its China assistance system with Momenta, built MB Drive Assist Pro with NVIDIA, and runs an L4 S-Class robotaxi pilot in Abu Dhabi with Momenta and Lumo.

**Local data. Local partners.
Deployed where demand and
regulation already meet.**

NOW TURN IT AROUND

The same offer is heading to Europe.

BYD already runs a Budapest R&D centre for intelligent driving and builds cars in Hungary, with Turkey next. The hardware and the playbook are already crossing the border. Approval and data rules are the gate, not BYD's intent.

When that offer reaches European roads, the question is not whether drivers want it. It is whether Europe matches it, or only regulates around it.

THE VERDICT

Not retreat. Repositioning.

German OEMs hold L2+ by deliberate choice and stand ready for L3 within the right framework, partners already in place. The contest moved from specs to trust, cost, and accountability. The capability never left Europe.

Peter Fintl

VP Technology & Innovation, Capgemini Engineering

**Europe's home advantages are real.
The work now is to use them,
not to defend the past.**